

Compensation, Payroll & Tax Compliance Policy

Document Reference: LALA-POL-HR-004

1. Purpose & Scope

This policy outlines the governing principles, operational schedules, and statutory compliance frameworks for employee compensation, payroll processing, tax deduction at source (TDS), and financial declarations at LALA Company.

This policy applies to all full-time, part-time, and contractual employees across all business units of LALA Company.

2. Salary Structure Architecture

LALA Company constructs employee Total Fixed Pay (TFP) and Cost to Company (CTC) based on a structured, fully transparent framework designed to ensure external competitiveness and internal equity.

Component	Category	% Breakdown / Limit	Description & Tax Status
Basic Salary	Core Earnings ▾	40% - 50% of Total CTC	Fully taxable base component used for statutory benefits calculations.
House Rent Allowance (HRA)	Allowance ▾	40% - 50% of Basic	Tax-exempt subject to actual rent paid, city tier, and statutory provisions.
Special Allowance	Allowance ▾	Balancing Component	Fully taxable residual component of the total fixed salary.
Statutory PF (Employer)	Contribution ▾	12% of Basic (Capped at ceiling)	Statutory retirement benefit match contributed by the company.

Component	Category	% Breakdown / Limit	Description & Tax Status
Performance Incentive	Variable ▾	Discretionary / KPI-based	Variable pay component paid quarterly or annually; fully taxable.

3. Payroll Cycle & Timeline

Payroll is executed on a monthly calendar cycle to ensure predictable and timely disbursement.

3.1 Monthly Processing Schedule

- Attendance & Leave Cut-off: 20th of every month. Any leaves applied after the 20th are accounted for in the subsequent cycle.
- Investment Proof & Variable Inputs Submission: 22nd of every month.
- Payroll Verification & Audit: 23rd to 25th of every month.
- Salary Disbursement Date: Last working day of the month.

3.2 Mode of Payment

All salary disbursements are executed directly via automated bank transfer (ACH/NEFT) into the employee's registered corporate salary account. Cash payouts are strictly prohibited.

4. Tax Deduction at Source (TDS) & Compliance

LALA Company adheres strictly to statutory tax regulations. Income tax (TDS) is calculated and deducted at source monthly based on estimated annual income and chosen tax regimes.

4.1 Tax Regime Selection

Employees must select their preferred tax regime (Old Tax Regime vs. New Tax Regime) at the beginning of each financial year (April) or upon onboarding.

- Default Option: In the absence of an explicit declaration, payroll processing will automatically default to the statutory baseline (New Tax Regime).
- Mid-Year Changes: Switching between regimes during the financial year is restricted to regulatory provisions.

4.2 Tax Declarations & Proof Submission

To optimize TDS deductions, employees under the Old Tax Regime must declare intended investments early in the fiscal year and submit verified proofs within the designated verification window.

Milestone	Target Window	Required Action
Initial Declaration	April 1 – April 15	Submit annual investment declarations via Payroll Portal.
Mid-Year Review	October 1 – October 15	Review and adjust investment projections.
Final Proof Submission	January 5 – January 25	Upload valid original documents/proofs for verification.
TDS Adjustment	Feb & March Payroll	Final tax adjustments and recalculations based on verified proofs.

4.3 Deductions Requiring Verification

- **House Rent Allowance (HRA):** Rent receipts, lease agreement, and landlord PAN (if annual rent exceeds regulatory limits).
- **Chapter VI-A Deductions:** ELSS, LIC, PPF, NPS, tuition fees, and principal payments on home loans.
- **Medical Insurance & Expenses:** Premium receipts under applicable statutory sections.

5. Payslips & Form 16 Issuance

- **Monthly Payslips:** Digital payslips are generated and made available on the employee self-service portal within two (2) working days of salary disbursement.
- **Form 16:** Annual TDS certificates (Form 16) are issued to all eligible employees on or before the statutory deadline of June 15 following the close of the financial year.

6. Approvals & Governance

Policy inquiries, discrepancies, or tax assistance requests should be directed to the Internal Payroll & HR Operations Teams.

- **Policy Administrator:**  Person (Payroll Lead)
- **Escalation Officer:**  Person (Head of HR / Finance)
- **Effective Date:**  Date